LEADING with PURPOSE

ANNUAL REPORT 2019

STOCK CODE 1299

AIA GROUP LIMITED
友邦保險控股有限公司

HEALTHIER, LONGER, BETTER LIVES

VISION & PURPOSE

Our Vision is to be the world's pre-eminent life insurance provider.

Our Purpose is to play a leadership role in driving economic and social development across the region.

ABOUT AIA

AIA Group Limited and its subsidiaries (collectively "AIA" or the "Group") comprise the largest independent publicly listed pan-Asian life insurance group. It has a presence in 18 markets in Asia-Pacific – wholly-owned branches and subsidiaries in Hong Kong SAR, Thailand, Singapore, Malaysia, Mainland China, South Korea, the Philippines, Australia, Indonesia, Taiwan (China), Vietnam, New Zealand, Macau SAR, Brunei, Cambodia, Myanmar, a 99 per cent subsidiary in Sri Lanka, and a 49 per cent joint venture in India.

The business that is now AIA was first established in Shanghai a century ago in 1919. It is a market leader in the Asia-Pacific region (ex-Japan) based on life insurance premiums and holds leading positions across the majority of its markets. It had total assets of US$284 billion as of 31 December 2019.

AIA meets the long-term savings and protection needs of individuals by offering a range of products and services including life insurance, accident and health insurance and savings plans. The Group also provides employee benefits, credit life and pension services to corporate clients. Through an extensive network of agents, partners and employees across Asia-Pacific, AIA serves the holders of more than 36 million individual policies and over 16 million participating members of group insurance schemes.

AIA Group Limited is listed on the Main Board of The Stock Exchange of Hong Kong Limited under the stock code "1299" with American Depositary Receipts (Level 1) traded on the over-the-counter market (ticker symbol: "AAGIY").

Notes:
(1) Hong Kong SAR refers to Hong Kong Special Administrative Region.
(2) Macau SAR refers to Macau Special Administrative Region.
(3) Explanations of certain terms and abbreviations used in this report are set forth in the Glossary.

Driving economic and social development across Asia since 1919

1919
AIA put down its corporate roots in Asia when the group founder Mr. Cornelius Vander Starr established an insurance agency in Shanghai.

1921
Mr. Cornelius Vander Starr founded Asia Life Insurance Company, his first life insurance enterprise in Shanghai.

1931
Mr. Cornelius Vander Starr founded International Assurance Company, Limited (INTASCO), in Shanghai.

INTASCO established branch offices in Hong Kong and Singapore.

1947
The Philippine American Life and General Insurance Company (Philam Life) was founded in the Philippines.

INTASCO moved its head office to Hong Kong.

1948
INTASCO changed its name to American International Assurance Company, Limited.

1992
We re-established our presence in China through a branch office in Shanghai, the first foreign-owned life business to receive a licence in the country.

1998
We celebrated the return to our former headquarters building on The Bund in Shanghai.

2009
We completed the reorganisation driven by AIG's liquidity crisis in 2008, leading to the positioning of the Company for a public listing.

2010
AIA Group Limited successfully listed on the Main Board of The Stock Exchange of Hong Kong Limited, the third-largest IPO ever globally at the time.

2011
AIA Group Limited became a constituent stock of the Hang Seng Index.

We launched a sponsored Level 1 American Depositary Receipt programme.

2013
AIA completed the full integration of the businesses of AIA and ING Malaysia.

We commenced business in Sri Lanka through the acquisition of Aviva NDB Insurance.

2014
AIA and Citibank formed a landmark, long-term and exclusive bancassurance partnership that encompasses 11 markets in the Asia-Pacific region.

AIA became the Official Shirt Partner of Tottenham Hotspur Football Club to promote the role of sports as a key element of healthy living.

2015
AIA became the #1 MDRT company in the world.

MDRT®

2016
The AIA Leadership Centre opened in Bangkok.

We increased AIA Group's stake in Tata AIA Life Insurance Company Limited, a joint venture in India, from 26 per cent to 49 per cent.

2017
AIA presented the Hong Kong Observation Wheel and the AIA Vitality Park.

2018
AIA launched new brand promise: Healthier, Longer, Better Lives

LEADING with PURPOSE

Our Centennial year — marking a 100-year journey that has seen AIA become the largest independent publicly listed pan-Asian life insurance group — was celebrated across the region by events and physical challenges supporting local community charities and special causes.

We are committed to leading our industry by delivering on our promise of Healthier, Longer, Better Lives, with the purpose of driving economic and social development across the markets in which we operate.

2019

AIA Celebrates Its Centennial Year

Our 100-year journey has been one of pioneering growth that has seen AIA become the largest independent, publicly listed, pan-Asian life insurance group, with a presence across 18 markets. In 2019, we held a year-long series of centennial-themed activities in all our markets in support of local community charities and special causes.

AIA Opens New Sales and Service Centres in Mainland China

AIA set up sales and service centres in Tianjin and Shijiazhuang, Hebei in accordance with the pilot programme promoting insurance integration under the Beijing–Tianjin–Hebei Integration Plan.

AIA Granted Approval to Operate in Myanmar

AIA was granted approval to operate in Myanmar through a 100% wholly-owned subsidiary. We opened for business in November 2019 and became the first foreign insurer to issue a policy in the country.

AIA and CBA Execute Joint Cooperation Agreement and Extend Strategic Partnership to 25 years

AIA and Commonwealth Bank of Australia (CBA) executed a Joint Cooperation Agreement enabling AIA to exercise a level of direct management control and oversight over CBA's life insurance business in Australia. Additionally, AIA Australia's strategic bancassurance partnerships with CBA in Australia and ASB Bank Limited in New Zealand were extended to 25 years.

AIA and Spurs Extend Global Principal Partnership until 2027

AIA and Tottenham Hotspur Football Club extended their partnership to the end of the 2026/27 season. The AIA brand will continue to appear on the front of the team shirts in all competitions.

AIA Tops The Table for Fifth Year Running

AIA became the only multinational company in the world to rank number one in terms of the largest number of Million Dollar Round Table members for five consecutive years.

AIA AT-A-GLANCE

Presence in
18 Markets

The largest listed company on the Hong Hong Stock Exchange
which is incorporated and headquartered in Hong Kong

The largest [1] life insurer in the world

No.1 Worldwide for MDRT Members
The only multinational company to top the table for five consecutive years

Provides protection to people across the Asia-Pacific region with total sum assured of
US$1.74 trillion

The only international life insurer headquartered and listed in Hong Kong and
100% focused on Asia-Pacific

Over 14 million benefit payments
were made during 2019, helping customers and their families to cope with challenges at different life stages

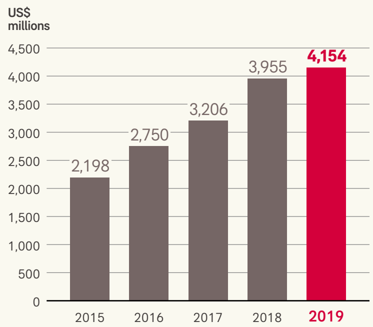
Serving the holders of more than
36 million
individual policies and over
16 million
participating members of group insurance schemes

Note:
(1) The largest life insurer in the world by market capitalisation as at 12 March 2020.

CONTENTS

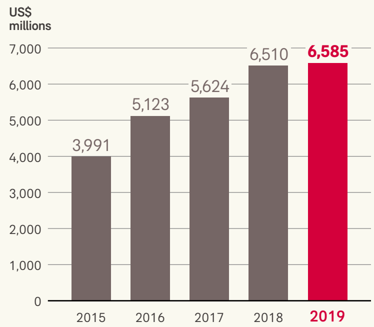
2019 RESULTS AT-A-GLANCE[1]

VALUE OF NEW BUSINESS[2][8]



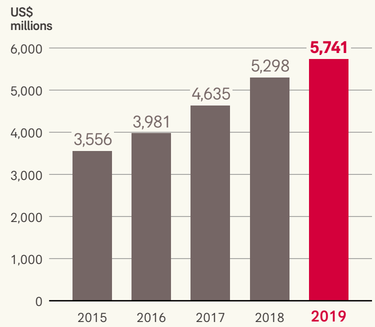
+6% YoY (CER) | +5% YoY (AER)

ANNUALISED NEW PREMIUMS[3][8]



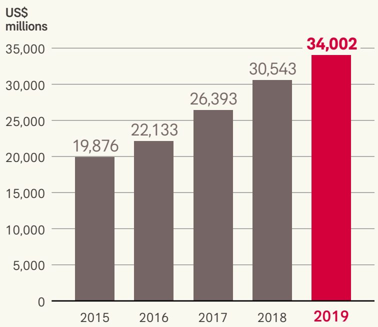
+2% YoY (CER) | +1% YoY (AER)

OPERATING PROFIT AFTER TAX[4]



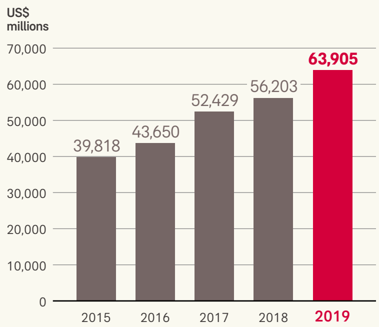
+9% YoY (CER) | +8% YoY (AER)

TOTAL WEIGHTED PREMIUM INCOME[5]



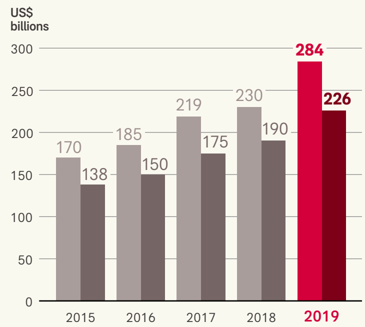
+13% YoY (CER) | +11% YoY (AER)

EV EQUITY[6]



+12% YoY (CER) | +14% YoY (AER)

TOTAL ASSETS AND TOTAL LIABILITIES

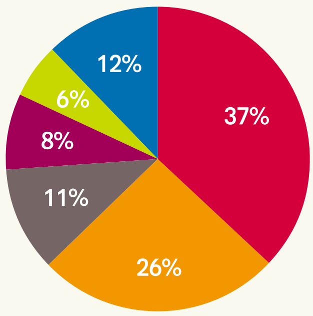


+24% TOTAL ASSETS

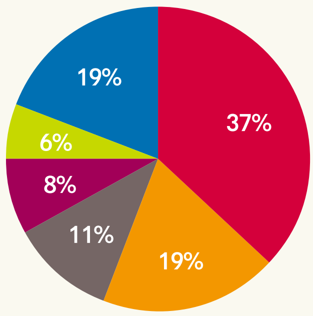
+19% TOTAL LIABILITIES

2019 BREAKDOWN BY MARKET SEGMENT

VALUE OF NEW BUSINESS (2)(7)

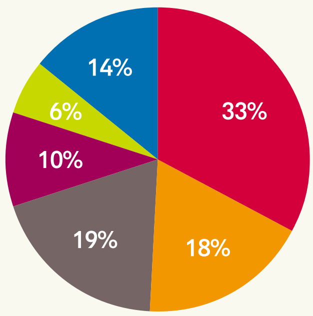


ANNUALISED NEW PREMIUMS (3)

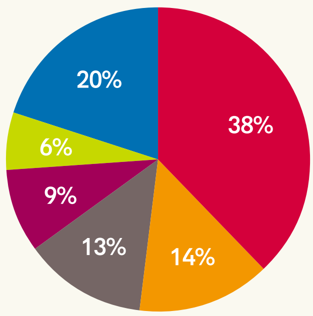


- Hong Kong
- Mainland China
- Thailand
- Singapore
- Malaysia
- Other Markets (8)

OPERATING PROFIT AFTER TAX (4)



TOTAL WEIGHTED PREMIUM INCOME (5)



Notes:

(1) The financial information from 2017 to 2019 is presented on the 31 December financial year-end basis. The financial information from 2015 to 2016 is presented on the 30 November financial year-end basis. For clarity, the growth rates are presented on the 31 December financial year-end basis.

(2) Value of new business (VONB) is the present value, measured at the point of sale, of projected after-tax statutory profits emerging in the future from new business sold in the period less the cost of holding the required capital in excess of regulatory reserves to support this business.

(3) Annualised new premiums (ANP) is a measure of new business activity that is calculated as the sum of 100 per cent of annualised first year premiums and 10 per cent of single premiums, before reinsurance ceded.

(4) Operating profit after tax (OPAT) is shown after non-controlling interests.

(5) Total weighted premium income (TWPI) consists of 100 per cent of renewal premiums, 100 per cent of first year premiums and 10 per cent of single premiums, before reinsurance ceded.

(6) Embedded value (EV) is an actuarially determined estimate of the economic value of a life insurance business based on a particular set of assumptions as to future experience, excluding any economic value attributable to future new business. EV Equity is the total of embedded value, goodwill and other intangible assets.

(7) Based on local statutory basis, before unallocated Group Office expenses and deduction of the amount attributable to non-controlling interests, VONB by segment includes pension business.

(8) In 2019, ANP and VONB for Other Markets include 49 per cent of the results from our joint venture in India, Tata AIA Life Insurance Company Limited (Tata AIA Life), to reflect our shareholding. ANP and VONB for 2018 and before have not been restated and do not include any contribution from Tata AIA Life. The total reported VONB for the Group in 2019 excludes the VONB attributable to non-controlling interests. VONB for 2018 and before have not been restated and are reported before deducting the amount attributable to non-controlling interests, as previously disclosed. The IFRS results of Tata AIA Life are accounted for using the equity method. The results of Tata AIA Life are accounted for on a one quarter lag basis in AIA's consolidated results. For clarity, TWPI does not include any contribution from Tata AIA Life.

CHAIRMAN'S STATEMENT

AIA's long history in Asia through many different market cycles has provided us with a secure and trusted brand. Despite a challenging operating environment, we have achieved continued growth in 2019 through the strength and resilience of our businesses and the scale of AIA's opportunities in the Asia-Pacific region.

Over the course of the year, consumer confidence was affected by various geopolitical events, including uncertainty over trade negotiations between China and the United States, and the social unrest in Hong Kong. Against this backdrop, AIA continued to deliver growth in all our main financial metrics.

Value of new business (VONB) increased to US$4,154 million in the context of external headwinds, particularly in relation to events in Hong Kong. Excluding Hong Kong, the Group's VONB grew by 16 per cent. Operating profit after tax (OPAT) increased by 9 per cent to US$5,741 million and underlying free surplus generation (UFSG) grew by 13 per cent to US$5,501 million. Growth rates are shown on constant exchange rates (CER) as this provides a clearer picture of the year-on-year performance of the underlying business.

Equity attributable to shareholders of AIA Group Limited (the Company) on the embedded value basis (EV Equity) grew to US$63,905 million over the year, which was an increase of 12 per cent. As at 31 December 2019, underscoring the Group's financial strength, the solvency ratio for our principal regulated operating company, AIA Company Limited (AIA Co.), was 362 per cent and the Group's free surplus above required regulatory capital was US$14,917 million, as measured under the Hong Kong Insurance Ordinance (HKIO) basis.

The board of Directors (Board) has recommended a final dividend of 93.30 Hong Kong cents per share, following AIA's established prudent, sustainable and progressive dividend policy, allowing for future growth opportunities and the financial flexibility of the Group within the context of the immediate macroeconomic and capital markets environment.

AIA's long-term opportunities in the region are significant: as growing numbers of people in Asia enjoy middle-class incomes and lifestyles, their need for savings and financial protection will continue to increase. At the same time, Asia remains significantly underinsured and government social welfare provision is limited in many markets. This "protection gap" creates an important opportunity for AIA, as the leading pan-Asian life insurer, to meet customers' needs.

AIA celebrated its Centennial in 2019, which was a source of great pride for everyone involved with the Group. From Shanghai, where AIA's story began in 1919, to our newest operation, Myanmar which began operations in November 2019, we held events across our 18 markets to mark this historic milestone. Our employees and their families joined with customers, friends and partners of AIA – including representatives from Tottenham Hotspur Football Club (Spurs) – to celebrate our extraordinary journey. I would like to express the Board's profound gratitude to all of AIA's customers, employees, agents and partners whose loyalty and dedication over generations have made the Group what it is today. Our centenary gave us a wonderful opportunity to recognise the contribution of everyone who has worked with the Group, past and present, and to look forward with confidence to the century that lies ahead.

Mr. Edmund Sze-Wing Tse
Independent Non-executive Chairman

AIA recognises the seriousness, scale and complexity of the challenge posed by climate change and we are committed to playing our part in the transition to a more sustainable future. Our efforts to address material Environmental, Social and Governance (ESG) issues and enhancing our disclosures have earned us international recognition.

In 2019, AIA was included in the top 1 per cent of companies for ESG risk management by the rating agency Sustainalytics, which ranked the Group second out of 253 companies in the insurance industry. We were also included in the FTSE4Good Index Series for the third consecutive year. Since 2018, AIA has been part of the Task Force on Climate-related Financial Disclosures (TCFD), a global initiative that seeks to develop voluntary, consistent disclosure of climate change impacts. In 2019, we built on this by engaging with more than 1,400 companies across our investment portfolio, as well as over 30 external investment managers, as we sought to better understand how these companies manage climate change risks.

Our Group Chief Executive and President Ng Keng Hooi, will retire on 31 May 2020. On behalf of the entire Board, I would like to express my sincere thanks to Keng Hooi who has made a substantial and enduring contribution to AIA throughout our history as a listed company, both during his time as Group Chief Executive and President, as well as in his previous role as Regional Chief Executive.

I also wish to welcome our Group Chief Executive and President Designate Lee Yuan Siong to the Group. Yuan Siong has an impressive track record of leadership in our industry and is very well positioned to build on the tremendous work done by Keng Hooi during his term as Group Chief Executive and President. Yuan Siong's appointment is the result of a rigorous succession process by the Board to identify the best candidate to succeed Keng Hooi. We look forward to Yuan Siong's leadership and contribution as AIA continues to deliver on its promises throughout Asia.

As the Group approaches this transition in executive leadership, the Board remains as committed as ever to the highest standards of corporate governance. All of our non-executive directors are independent and they bring a broad spectrum of governance and executive experience to the work of the Board. Our approach to effective governance goes hand in hand with AIA's efforts to embed a culture throughout the organisation that is equal to the task of managing risk in an increasingly complex environment. In addition to our focus on sustainability, we remain highly focused and will continue to engage closely with our senior management on issues such as data privacy, cybersecurity and ethical business practices.

In the first quarter of 2020, the world faces the uncertain impact of COVID-19 and the measures taken to limit its spread. The ultimate impact on the financial results of the Group will depend on the duration and severity of the outbreak and we are closely monitoring the developing situation. As a result of travel restrictions and the reduction in face-to-face interactions, we have seen a significant disruption in new business sales in the first quarter. Our priority will always be the health and well-being of our staff and agents. Our businesses in affected areas are also working hard to support our wider communities at this difficult time.

I am confident that AIA is ideally positioned to deliver growth over the long term by continuing to serve our communities throughout Asia. Our Purpose of playing a leadership role in driving economic and social development across the region has never been more important. Thank you for supporting us as we pursue these ambitions by helping our customers live Healthier, Longer, Better Lives.

Edmund Sze-Wing Tse
Independent Non-executive Chairman
12 March 2020

Mr. Ng Keng Hooi
Group Chief Executive and President

AIA continued to deliver growth across all our main financial metrics. This was achieved despite a challenging operating environment.

AIA has delivered a resilient performance in 2019 demonstrating the strength and quality of our diversified, high-quality portfolio of businesses as well as the growing structural needs for protection and long-term savings products across our markets.

Headline value of new business (VONB) growth of 6 per cent was the result of very strong growth in the first half of the year set against a second half significantly affected by social unrest in Hong Kong. The Group delivered overall VONB growth of 16 per cent for the full year excluding Hong Kong. Operating profit after tax (OPAT) increased by 9 per cent, underlying free surplus generation (UFSG) grew by 13 per cent and equity attributable to shareholders of AIA Group Limited (the Company) on the embedded value basis (EV Equity) grew strongly to US$63.9 billion, up 12 per cent, after the payment of shareholder dividends. As in prior years, growth rates are shown using constant exchange rates (CER) to provide a clearer picture of the year-on-year performance of the underlying business.

The board of Directors (Board) has recommended a final dividend of 93.30 Hong Kong cents per share, following AIA's established prudent, sustainable and progressive dividend policy, allowing for future growth opportunities and the financial flexibility of the Group within the context of the immediate macroeconomic and capital markets environment. The total dividend of 126.60 Hong Kong cents per share represents an increase of 11 per cent compared with the total dividend in 2018, excluding the special dividend.

In 2019, a number of our markets experienced headwinds from falling consumer confidence and rising political and trade tensions. In particular, the reduced numbers of Mainland Chinese visitors to Hong Kong in the second half of the year affected new business sales in our largest market. Despite this near-term disruption, the long-term growth opportunities for AIA remain significant as we continue to benefit from Asia's remarkable journey towards greater prosperity alongside low levels of private insurance penetration and social welfare coverage.

The Group celebrated its Centennial year in 2019 and the contributions that generations of dedicated people at AIA have made to Asia's economic and social progress over the last 100 years. AIA has navigated vast economic and political change over the past century on our way to becoming one of the world's largest life insurers.

We are immensely proud of the contribution AIA has made to the development of local financial markets and the reach and effectiveness of life insurance in our region. We are also grateful for the long-term relationships we have developed with millions of customers and their families throughout the region. In many cases, these trusted relationships span generations.

AIA was founded in Shanghai and China remains at the heart of our growth strategy. The Chinese Government's announcement of further measures to remove foreign ownership restrictions and continue the liberalisation of the life insurance sector presents an historic opportunity for AIA. We have submitted an application for regulatory approval to convert our Shanghai branch into a subsidiary. Subject to regulatory approval, the newly incorporated subsidiary will form the foundation for our geographical expansion plans in Mainland China.

The life insurance industry has a responsibility to promote the well-being of our communities by supporting people through times of financial adversity and illness as well as by providing an efficient means of pooling savings so that they generate incomes in retirement. However, the region remains significantly underinsured in terms of life protection, health insurance, as well as in pensions and retirement savings. The opportunity to address these growing needs inspires us and demonstrates the significant potential for growth across our markets.

In the context of well-being, I am especially proud of AIA's industry leadership, as we strive to meet our brand promise to help people live Healthier, Longer, Better Lives. We are continuing our shift towards being a lifelong partner to our customers, moving beyond the traditional transaction-focused insurance model towards helping them live a more healthy lifestyle, including through AIA Vitality, our comprehensive, science-backed wellness programme. This shift is transforming our engagement with more and more customers around the region. I believe encouraging people to improve their health and wellness will be a win for AIA, a win for our customers and a win for our communities.

AIA's trusted distribution capabilities, market-leading brand and long history in Asia provide reassurance for our customers as we help safeguard their future health and financial security. Our dedicated teams remain focused on executing our clear growth strategy to sustain our competitive advantages as we continue to build on AIA's position as the leading pan-Asian life insurance company.

2019 PERFORMANCE HIGHLIGHTS (ON A CONSTANT EXCHANGE RATE BASIS)

Our **Hong Kong** business reported a 5 per cent decline in VONB to US$1,621 million with strong growth in the first half offset by a substantial decline in the Mainland Chinese visitor customer segment in the second half of the year. Our agency business delivered double-digit VONB growth from our Hong Kong domestic customers for the full year as our focus on the fundamentals of our Premier Agency strategy produced increased active agent numbers. VONB from partnership distribution declined in the second half from lower sales to Mainland Chinese visitors and increased competition. OPAT grew by 6 per cent to US$1,931 million.

In **Mainland China**, we delivered another very strong performance. VONB grew by 27 per cent to US$1,167 million and VONB margin remained strong at 93.5 per cent. Our differentiated Premier Agency strategy continues to deliver growth in both new recruits and active agents. In July 2019, we successfully opened our new sales and service centres in Tianjin and Shijiazhuang, Hebei. This was our first geographical expansion in Mainland China for 17 years. OPAT grew by 28 per cent and exceeded US$1 billion for the first time.

Our business in **Thailand** grew VONB by 6 per cent to US$494 million, supported by sales momentum in our Financial Adviser (FA) programme and our strategic long-term partnership with Bangkok Bank Public Company Limited (Bangkok Bank). Overall VONB margin remained strong at 67.7 per cent but reflected a higher proportion of bancassurance business compared with the prior year. OPAT increased by 3 per cent as underlying business growth and improved persistency were partly offset by lower bond yields and higher medical claims.

In **Singapore** VONB of US$352 million was stable year-on-year, with growth in regular premium sales offset by lower single premiums through our partnership distribution channels. The execution of our Premier Agency strategy saw an increase in the number of active agents, enabling us to maintain our market-leading agency distribution platform. Our strategic partnership with Citibank, N.A. (Citibank) delivered double-digit VONB growth, supported by an increase in the number of insurance specialists and higher productivity. OPAT increased by 6 per cent.

Our business in **Malaysia** reported VONB growth of 7 per cent, with our agency channel delivering double-digit VONB growth, supported by the launch of a new quality recruitment platform. While our strategic partnership with Public Bank Berhad generated strong VONB growth from in-branch distribution, this was offset by lower VONB in our direct marketing channel and our corporate solutions business. OPAT grew by 6 per cent.

Other Markets reported very strong VONB growth of 27 per cent to US$535 million, led by **Australia**, the **Philippines** and **Vietnam**. We have included a first-time contribution from our **Indian** joint venture, Tata AIA Life, in line with our 49 per cent shareholding. OPAT grew by 2 per cent to US$823 million as the earnings contribution from strong new business growth was partly offset by weaker operating experience in **South Korea** and an increase in operating expenses incurred in Australia in response to regulatory changes.

In November 2019, we executed a Joint Cooperation Agreement (JCA) with Commonwealth Bank of Australia (CBA) to take effective management control and extend our strategic bancassurance partnership with CBA in Australia to 25 years. In **Myanmar**, our 100% wholly-owned subsidiary began operations in November 2019.

GROUP-WIDE OVERVIEW

DISTRIBUTION

The consistent execution of our Premier Agency strategy delivered agency VONB growth of 11 per cent in 2019 to US$3,243 million. Excluding Hong Kong, agency achieved 16 per cent growth in VONB. AIA's proprietary training, bespoke innovative digital tools and clear career development paths are fundamental to attracting the best people and ensuring that we retain them. In 2019, AIA achieved another record in Million Dollar Round Table (MDRT) membership with an increase in registered members of 22 per cent compared with 2018. AIA has now achieved the highest number of MDRT-registered members globally for five consecutive years.

AIA's extensive network of industry-leading strategic partners across the Asia-Pacific region significantly broadens our access to potential new customers and offers tremendous growth opportunities. In 2019, VONB from partnerships reduced by 1 per cent to US$1,142 million due to the effect on our retail independent financial adviser (IFA) business in Hong Kong of the reduction in Mainland Chinese visitors in the second half of the year. Excluding Hong Kong, VONB from partnerships grew by 19 per cent.

Our bancassurance channel delivered very strong VONB growth in 2019 with excellent results from our strategic partnerships in the Philippines and Indonesia. Our regional partnership with Citibank continued to grow and remained the largest contributor to the Group's bancassurance VONB in 2019. New bancassurance partnerships launched in the last three years in Vietnam, Thailand and New Zealand provided a substantial contribution to the VONB growth of our bancassurance channel. The strong momentum in these markets demonstrates our ability to use experience from elsewhere in the Group to activate new partnerships quickly and with increasing success.

BRAND AND MARKETING

Over its long history in the region, AIA has grown to become the largest pan-Asian life insurance company, trusted by millions of customers with the leading insurance brand in Asia. Our purpose-led promise to make a positive difference by helping people to live Healthier, Longer, Better Lives is more relevant now than ever and sits at the core of all that we do for our customers. We continued to work with a range of partners to promote healthy living, including our Global Ambassador, David Beckham, and Tottenham Hotspur Football Club (Spurs) through our Global Principal Partnership.

Our differentiated health and well-being strategic framework supports the entire customer health journey across prediction, prevention, diagnosis, treatment and recovery. AIA Vitality and our wellness programmes have focused customer engagement on the benefits of living well to combat the rapid growth of lifestyle-related diseases in Asia. We now offer comprehensive wellness programmes in 12 of our markets. Overall membership across the Group exceeded 1.7 million at the end of December 2019, an increase of 42 per cent since the end of 2018.

Our brand promise, partnerships and wellness programmes are a source of great pride for our employees and distributors. Not only do we campaign on a range of health and wellness topics in the region through a variety of education and outreach programmes, but we also create value for our customers by delivering meaningful health improvements, better treatment outcomes and much-needed financial protection.

TECHNOLOGY AND OPERATIONS

Our approach to investing in and deploying new technologies is based on delivering material value and enhancing capabilities that improve efficiency, services, productivity and experience for our customers, staff and distributors.

In 2019, we significantly expanded our ability to support customer transactions digitally and automated many back-office processes associated with the provision of these services. More than 80 per cent of all customer interactions across all of our markets can now be performed digitally. In addition, over 90 per cent of all new cases were submitted digitally and 62 per cent were underwritten automatically.

We continue to refine our proprietary agency tools and platforms to enable greater productivity and intuitive support across key activities including sales activity management, servicing and recruitment. Our digital recruitment platforms provide content and features tailored to each market's unique recruitment programmes and customer propositions.

We have also begun a digital transformation with our strategic bancassurance partners utilising data analytics to further enhance the end-to-end customer experience, optimise leads generation and improve sales conversion rates. We aim to quickly expand and further enhance these tools as we roll them out across the Group.

As we continue to increase our use of technology, cybersecurity remains of vital importance for the Group. We continue to make significant investments in cybersecurity measures, including in-house forensic investigation capabilities and through the use of independent external advisers to safeguard our data and test and validate our defences for resilience against cyberthreats.

ENGAGEMENT WITH PEOPLE

AIA's sustained success will continue to be the direct result of attracting and retaining the top talent and empowering future leaders. We foster a learning-based collaborative culture for our more than 23,000 employees and tens of thousands of agents, underpinned by our Operating Philosophy of "Doing the Right Thing, in the Right Way, with the Right People... the Right Results will come".

In 2019, we launched our bespoke leadership curriculum designed to help our leaders across all levels of the organisation reach their full potential. The AIA Leadership Centre (ALC) continues to provide best-in-class talent development programmes to our senior leaders, top agency leaders and key partner executives. The ALC has now entered its fourth year of operation and, in 2019, it hosted more than 250 events. It was awarded an accreditation from the prestigious European Foundation for Management Development in recognition of excellence in leadership development programmes. AIA is currently the only life insurer in the world to hold this accreditation.

An inclusive workplace that actively reflects our brand promise and demonstrates high levels of engagement, is at the core of our recruitment and retention strategy. I am pleased to report that our performance in the annual Gallup Q12 Employee Engagement Survey, placed us in the top quartile of Gallup's global financial services and insurance industry benchmark for the third consecutive year. In addition, 2019 saw a record number of eligible employees participate in our long-term Employee Share Purchase Plan; a powerful demonstration of our employees' commitment to AIA.

AIA was also recognised in the Forbes Global 2000 – The World's Best Employers 2019 list, and the Company was named a constituent of the Bloomberg Gender-Equality Index for the third year in a row.

OUTLOOK

Asian economies continued to deliver solid growth in 2019 with the exception of Hong Kong which was affected by social unrest in the second half of the year. As we move into the first quarter of 2020, a number of our markets are facing headwinds from the lower interest rate environment and the impact of COVID-19. The expectation is for a temporary but significant disruption in the near term. The speed of recovery and the extent of any long-term impact remain uncertain but will depend on the duration and severity of the outbreak and associated containment measures. Policymakers are taking actions to help reduce the financial impact on personal incomes by supporting businesses with targeted measures including tax reductions and by providing further fiscal support.

AIA is closely monitoring the developing situation. We have not seen any unusual patterns of claims to date in Mainland China and the agency recruitment pipeline remains strong as we accelerate our digital initiatives. However, we have seen a significant disruption in the Group's new business sales in the first quarter given travel restrictions and a general reluctance for people to engage in face-to-face meetings.

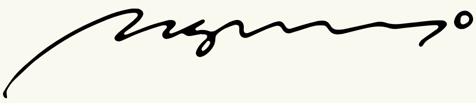
I am proud of the resilience and commitment of our people at this time. Our local businesses in affected areas have been supporting their communities with enhanced benefits and expedited claims procedures as well as practical support on the ground. Our thoughts remain with the families and communities who have been affected by this public health emergency.

Despite the near-term uncertainty, the strong domestic drivers of demand and major demographic trends in Asia provide positive structural support for the long-term prospects of AIA's business. The need for AIA's insurance products will continue to grow given rising incomes, low levels of private insurance penetration and limited social welfare coverage.

As I approach my retirement later in the year, I am confident that AIA is ideally positioned for future long-term growth. I also know that our success will create significant value for our customers, investors, employees and communities, as it has done for generations.

What truly sets this extraordinary company apart is the depth and quality of our employees, agents and partners, whose tireless work and unrelenting commitment are enabling us to transform how we engage with our customers. They always have been, and always will be, the cornerstone of our success and I offer them my heartfelt thanks.

I have been privileged to lead this remarkable group of people at the end of AIA's first 100 years and into the dawn of its second century, which I believe holds great potential for Asia and for the Group. I am very pleased to pass the role of Group Chief Executive and President on to Lee Yuan Siong and I am certain that AIA will go from strength to strength under his leadership.



Ng Keng Hooi
Group Chief Executive and President
12 March 2020

FINANCIAL AND OPERATING REVIEW

Mr. Garth Jones
Group Chief Financial Officer

In 2019, AIA has delivered a resilient performance, despite the challenging operating environment, with continued growth in all our main financial metrics. We achieved growth in value of new business (VONB), a solid increase in International Financial Reporting Standard (IFRS) operating profit after tax (OPAT), double-digit growth in underlying free surplus generation (UFSG) and embedded value (EV).

AIA is the largest publicly listed pan-Asian life insurance group, with a presence across 18 markets in the Asia-Pacific region. We receive the vast majority of our premiums in local currencies and we closely match our local assets and liabilities to minimise the economic effects of foreign exchange movements. When reporting the Group's consolidated figures, there is a currency translation effect as we report in US dollars. In order to provide a clear picture of the year-on-year performance of the underlying businesses, we have, unless otherwise stated, provided growth rates and commentaries on our operating performance on a constant exchange rate (CER) basis.